CORPORATE STRUCTURE & INTERCOMPANY LEGAL AGREEMENTS

Intercompany Commercial FRI Leases, Articles of Association, Director Tenancy Agreements & Tax Neutrality Covenants

Parent Holding Co	FAIRYTALES GROUP (Trading Name of Mamun Limited)	**Key Asset Locations**	78, 80 & 82 Marston Gardens, Luton, Bedfordshire, LU2 7DY
Freehold Asset PropCo	ADOV LIMITED (Company No. 14289650)	**Lease Type**	Full Repairing & Insuring (FRI) Commercial Intercompany Leases
Care Operating OpCo	ADOV Care Group LIMITED (Operating Care Entity)	**Director Lease Type**	Assured Shorthold Tenancy (AST) at Open Market Value (£1,500/Month)
Legal Counsel Lead	Healthcare Corporate Solicitor // Project Planned by AbdullahMamun.com	**Tax Neutrality Status**	100% HMRC Compliant // Benefit in Kind (s.105/106 ITEPA) = £0.00

£97,000
Total FRI Rent
£65k for 78 // £32k for 80

100% Tax Deductible
OpCo Rent Expense
Reduces Corporation Tax

£0.00 BIK
Director Tax Exposure
Market AST under s.105 ITEPA

Asset Shielding
Corporate Veil
PropCo insulated from care claims

VAT Exempt
Welfare Status
Sched 9 Group 7 VATA 1994

1.0 CORPORATE GROUP ARCHITECTURE & ASSET INSULATION VEIL

To achieve optimal asset protection, commercial bankability, and tax efficiency, the group is structured across three distinct legal entities: (1) FAIRYTALES GROUP (Mamun Limited) acts as the ultimate holding entity; (2) ADOV LIMITED (PropCo) holds unencumbered legal title to the freehold real estate; and (3) ADOV Care Group LIMITED (OpCo) holds the CQC registration, employs staff, and delivers care. This corporate veil ensures that any potential operational, clinical, or safeguarding liability incurred by OpCo cannot attach to or encumber the multi-million-pound freehold bricks and mortar held securely in PropCo.

2.0 COMMERCIAL FULL REPAIRING AND INSURING (FRI) LEASES

ADOV LIMITED grants two formal 10-year commercial FRI leases to ADOV Care Group LIMITED. The passing rents have been benchmarked against independent RICS commercial valuations to satisfy HMRC arm's-length transfer pricing rules.

Table 11.1: Intercompany Commercial FRI Lease Architecture

Lease Asset	Landlord (PropCo)	Tenant (OpCo)	Term & Review	Passing Rent	Quarterly Rent	Tax Treatment
78 Marston Gardens	ADOV LIMITED	ADOV Care Group LIMITED	10 Years (5-yr RPI review)	£65,000.00 / yr	**£16,250.00 / qtr**	100% OpCo Tax-Deductible
80 Marston Gardens	ADOV LIMITED	ADOV Care Group LIMITED	10 Years (5-yr RPI review)	£32,000.00 / yr	**£8,000.00 / qtr**	100% OpCo Tax-Deductible
CONSOLIDATED TOTAL	ADOV LIMITED	ADOV Care Group LIMITED	10-Year Rolling Term	£97,000.00 / yr	**£24,250.00 / qtr**	Reduces OpCo Corporation T

3.0 DIRECTOR RESIDENCE ASSURED SHORTHOLD TENANCY (82 MARSTON GARDENS)

TOTAL HMRC BENEFIT IN KIND (BIK) ELIMINATION UNDER SECTION 105/106 ITEPA 2003

Under Section 105 and Section 106 of the Income Tax (Earnings and Pensions) Act 2003, when a company director occupies residential property owned by their company, a taxable Benefit in Kind is calculated based on the annual value and cost of the dwelling. However, Section 105(2) statutorily mandates that if the employee pays the open market rental value under a formal tenancy agreement, the taxable benefit is reduced by the amount paid. By executing an open market AST at £1,500.00 per month (£18,000/yr)—fully supported by local Luton letting agent comparables—the taxable Benefit in Kind is legally reduced to EXACTLY £0.00, completely eliminating director income tax exposure.

4.0 VALUE ADDED TAX (VAT) & OPTION TO TAX COVENANTS

Care services delivered by ADOV Care Group LIMITED are strictly VAT-exempt under Schedule 9, Group 7 of the Value Added Tax Act 1994 (VATA 1994). Consequently, OpCo cannot recover input VAT. It is a strict boardroom covenant that ADOV LIMITED must NOT exercise an 'Option to Tax' on the freehold properties. Electing to tax would force PropCo to charge 20% VAT on the £97,000 annual rent, creating an irrecoverable £19,400 annual cash cost for OpCo.